

Palantir Technologies Inc.

PLTR NYSE

Hold	\$125.22 ▲ 1.76%	12M Price Target \$140.00	52-Week Range \$106.37 – \$207.52	Market Cap \$300.20B
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PLTR: Mercury Deal Adds Fuel Ahead of Monday Earnings

WHAT HAPPENED

- PLTR ticked up 1.8% on the Mercury Systems (MRCY) partnership — they're teaming up to automate US defense manufacturing, which is a direct play on the "reshoring + AI-ify the military supply chain" theme the administration keeps pushing. Translation: another government-adjacent revenue stream lined up right before Monday's earnings.
- The stock has been dead money for a week (drifting \$122–\$125) while the broader tech tape (+0.94%) and comm services (+2.72%) ran — this is classic "coiling before a catalyst" behavior heading into the earnings print.

WHY IT MATTERS

Monday's earnings is the whole ballgame here. The setup is loaded: options flow is screaming bullish (P/C ratio 0.43 — meaning 2+ calls bought for every put, a bet on upside), unusual call buying at \$135 strike, and a fresh defense partnership announced days before the print. That tells me smart money expects a beat AND another guidance raise — this would be their 12th straight quarter of revenue *acceleration* (each quarter growing faster than the last, which is extraordinarily rare). The risk: with the stock trading at ~70x sales, "in-line" is a sell. They need to blow it out, especially on US commercial revenue, which is the number Wall Street is fixated on.

POLICY & POLITICAL WATCH

The tailwinds here are massive and mostly bipartisan — the FY2026 defense budget expanded software/AI spending materially, and the administration's ongoing push to "AI-ify" federal agencies (via executive orders on federal AI adoption) funnels contracts straight to Palantir since they're already cleared and integrated. Watch two things: (1) any DOGE-style federal spending cuts that could hit civilian agency contracts (a headwind), and (2) export control decisions on AI to allied nations — PLTR's international commercial growth depends on how loose or tight those rules get. Net-net, the policy backdrop is one of the friendliest of any large-cap tech name right now.

IS IT EXPENSIVE?

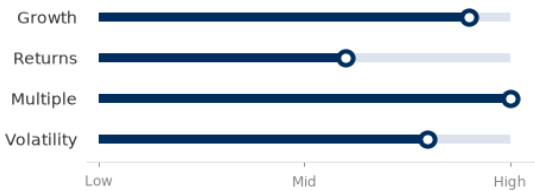
This is the elephant in the room — PLTR trades at roughly 70x forward sales and ~200x forward earnings, meaning you're paying \$200 today for every \$1 the company will earn next year. For context, peers like Snowflake or CrowdStrike trade at 15–20x sales. The only way this valuation works is if PLTR keeps accelerating revenue for years and margins keep expanding — which they've actually been doing, but the bar to justify the price gets higher every quarter.

WHAT COULD GO WRONG

Key Data

Price (USD)	\$125.22
12M Price Target	\$140.00
Upside / (Downside)	+11.8%
Market Cap	\$300.20B
FY2026E Revenue	\$4,200M
FY2027E Revenue	\$5,600M
FY2026E EPS	\$0.62
FY2027E EPS	\$0.85
Fwd P/E	202.0x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$145.00	\$130.00	\$108.00
6 Months	\$165.00	\$135.00	\$95.00
1 Year	\$190.00	\$140.00	\$85.00
2 Years	\$240.00	\$165.00	\$75.00
5 Years	\$350.00	\$220.00	\$90.00
10 Years	\$600.00	\$320.00	\$100.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Communication Services (+2.72%) and Consumer Discretionary (+1.82%) — Big Tech mega-caps are doing the heavy lifting again as AI capex commentary from hyperscalers stays strong. Defense-tech is quietly ripping on the sustained budget tailwind.

COOLING OFF: Materials and Financials are laggards — the market isn't in "reflation" mode, it's in "AI winners keep winning" mode.

ROTATION WATCH: Money is flowing into AI infrastructure + defense-tech crossovers (exactly PLTR's lane) as investors position for a second-half government spending surge. That's why PLTR is holding up despite the rich multiple.

RELATED PLAY: If the PLTR/MRCY defense-manufacturing theme has legs, watch AXON, KTOS, and RKLB — smaller defense-tech names that ride the same "modernize the Pentagon with software" wave but at cheaper valuations.

WHO'S WINNING IN THIS SPACE?

- MRCY (Mercury Systems): Riding the PLTR partnership announcement — direct beneficiary of the defense-automation theme.
- ANET (Arista Networks): AI infrastructure play that keeps grinding higher on hyperscaler capex commentary.

PLTR CONTEXT: PLTR is *lagging* the broader tech tape over the last 5 days — sitting at just 19% of its 52-week range while comm services rip. That tells me the market is nervous into earnings, which cuts both ways: if the print is good, the coiled spring releases hard; if it's mediocre, there's no support cushion below.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — The business is genuinely elite, but the valuation gives me heartburn and earnings Monday is a binary event.

POSITION SIZE: Keep it at 2–3% of portfolio. The upside is real but so is the 20%+ drawdown risk on any hiccup. This isn't a "back up the truck" price.

ENTRY POINTS: I'd rather buy the reaction than the anticipation — if earnings disappoint and this taps \$108–115, that's the add zone. If it gaps to \$150 on a beat, chase carefully with a small starter position.

TIME HORIZON: 12–24 months. The multi-year story (AI operating system for governments and enterprises) is intact; the near-term is all about earnings reactions.

WHEN TO BAIL: US commercial revenue growth decelerating for two straight quarters, or Karp cashing out unusually large amounts of stock, or a major government contract getting canceled/reneegotiated.

HEDGING: If you own it into Monday, buy a cheap put a few weeks out — think of it as insurance for the earnings event. Costs maybe 3–5% but caps your downside if the print disappoints.